SK Telecom

SKM | NYSE ADS; ordinary 017670 KRX | 2026-10-11

Q4 2027 model ceiling: USD 80.66

Analytical Base 40/60 = 67 | Telecom recovery and re-rating with later minority-owned AI infrastructure growth

20 x parent-attributable forward-four-quarter fully expensed operating profit, quarter plus next three, less matched end-window financial claims. Operating amounts are USD millions translated once at KRW 1,342.2108282840722 per USD. Each ADS represents 5/9 of an ordinary share; the denominator is 386.6220954 m ADS equivalents from all 214.790053 m issued ordinary shares. No analyst target is imported.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 34.24 per share (2026-10-09 16:00 EDT regular NYSE close); 386.622 million common shares (30 June 2026 full issued shares including treasury to reserve potential reissuance); estimated equity capitalization USD 13,237.9 million. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 87% re-rating under the owner's sequential-percentage heuristic (87% re-rating / 13% growth). Uses the dated 2026-10-09 16:00 EDT regular NYSE close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,872.5	20x	386.622	80.66

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated mobile, fixed-line and AI businesses. Horizon DC/submarine-cable earnings and its new cash/debt are attributed 51% from Q1 2027; SK Broadband remains wholly owned. Hyper development fees are modeled separately from Horizon. Neither the 5 GW phase nor 15 GW ambition is treated as wholly owned, operating GPU capacity. Existing unallocated debt and leases remain charged entirely to parent pending the carve-out balance sheet.. 20 x parent-attributable forward-four-quarter fully expensed operating profit, quarter plus next three, less matched end-window financial claims. Operating amounts are USD millions translated once at KRW 1,342.2108282840722 per USD. Each ADS represents 5/9 of an ordinary share; the denominator is 386.6220954 m ADS equivalents from all 214.790053 m issued ordinary shares. No analyst target is imported.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Thesis

Research date: 11 October 2026. New coverage, not an established holding. NYSE SKM is an ADS; its ordinary shares trade as 017670 in Seoul. This research uses the current production framework and keeps analyst assumptions separate from reported results, management plans and independently sourced market data.

Investment conclusion

SK Telecom combines an established Korean connectivity franchise with a potentially important AI infrastructure expansion. The immediate earnings engine is the recovery of mobile and fixed-line operations after the 2025 security incident. Existing data centers and subsea cables are already generating revenue. Much larger gigawatt ambitions are later, require outside capital and cannot be valued as if SKM wholly owned fully occupied GPU fleets today.

The active ceiling applies 20x fully expensed, parent-attributable operating profit to the quarter plus its next three quarters. The Q4 2027 window is therefore October 2027 through September 2028. It is not calendar 2027 alone. Funding, outside ownership, hybrid claims, leases and spectrum obligations accompany the operating forecast. The headline target is a ceiling under that specific framework multiple, not a claim that a mature telecom business currently deserves an observed 20x trading multiple.

The Q4 2027 ceiling is $80.66088958, versus $69.73901070 for the Q4 2026 window, with an analytical Base of 67. At the verified 9 October NYSE close of $34.24, the active ceiling is about 2.4x the share price. The owner's sequential-percentage method labels this 87% Re-Rate and 13% Growth. Most of the modeled uplift is already in the first displayed target. Later AI and DC earnings add growth, but the large difference between price and a 20x operating-profit ceiling drives the classification. It is not direct evidence of future P/E expansion. At 15x the same operating path gives $56.44455204; at 10x it gives $32.22821450, below the observed share price. These are sensitivities, not alternative silently blended active methods.

What the business sells

Mobile connectivity is the largest source of sales and cash flow. It combines subscriber access, data usage, premium services and a nationwide network. Its moat rests on spectrum, installed infrastructure, service quality and customer relationships, but regulation and competition constrain pricing. The 2025 security incident showed that reputation and retention are operating assets, not abstract risks.

SK Broadband contributes fixed internet, television, enterprise connectivity and related infrastructure. It became wholly owned in May 2026 after the cash purchase of residual shares. That does not mean every future data-center profit remains wholly attributable to SKM: the new Horizon transaction brings in outside investors.

Handset distribution and retail generate revenue at much lower margins than network services. The model gives them a separate product row so an increase in handset sales does not masquerade as high-margin AI growth. The broader AI services line includes cloud, AI call centers, enterprise applications, AI factory-related work, marketing and consumer products. It is not a pure subscription-software segment, and no software multiple is applied to the whole company.

The AI revenue perimeter

The issuer's Q2 presentation reports KRW136.2bn of AIDC revenue versus KRW70.7bn a year earlier, following KRW131.4bn in Q1. Its accompanying slide explicitly includes submarine cable revenue and higher utilization. The 92.5% annual growth rate is not a measure of GPU rental growth, and dividing the whole revenue figure by 137MW would produce a misleading rental yield.

AI B2B/B2C revenue is separately reported at KRW61.3bn in Q2 and KRW45bn in Q1. The group is prioritizing profitable use cases and restructuring weaker activities. This supports a positive growth branch, but an order for cloud services is not evidence of a fixed high-margin recurring contract.

The source exhibit at this section preserves the issuer's business definitions and KRW billion units. SJC2 began operating in July 2025; the E2A cable is scheduled for 2029. Cable capacity can help the DC proposition, but it must not be added as a separate demand shock after its economics are already included in the AIDC reference path.

2. Business Highlights

| AI

- AI DC revenue grew 92.5% YoY on the back of higher utilization of DCs and increased revenue contribution from submarine cable
- AI B2B/B2C revenue increased 24.5% YoY due to orders for Cloud business

(KRW bn)	2Q26	2Q25	YoY	1Q26	QoQ
AI DC	136.2	70.7	92.5%	131.4	3.6%
AI B2B/B2C	61.3	49.3	24.5%	45.0	36.2%

※ AI B2B: AI Cloud, AICC, AI Factory, GenAI, AI Marketing / AI B2C: A dot, Commerce, Ad, etc.

Submarine Cable Business

Phased expansion of submarine cable infra to meet growing traffic demand

SJC2*	E2A*	Further Expansion Across Asia
Connecting Japan, Korea, Hong Kong and Singapore with a total length of 10,500 km (Launched in July 2025)	Connecting the U.S., Korea, Japan and Taiwan with a total length of 12,500 km (Scheduled to launch in 2029)	

* SJC2: Southeast Asia–Japan Cable 2, E2A: East Asia To North America

6

SK Telecom Q2 2026 issuer investor presentation | Issuer Q2 2026 presentation, page 6: AIDC includes submarine cable revenue; AI applications/cloud are separately shown. Figures are KRWbn.

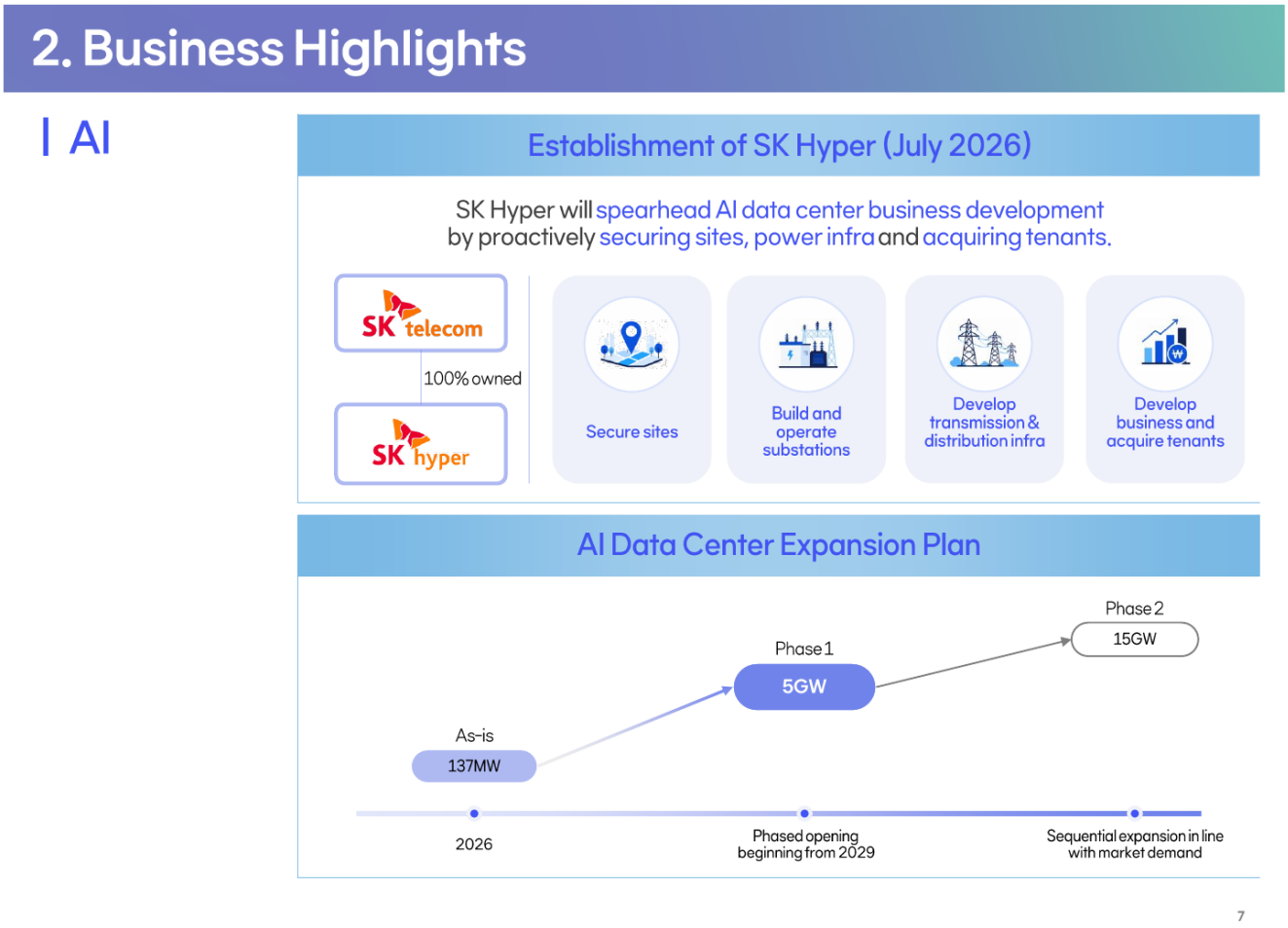
Horizon and Hyper are different businesses

The July plan introduced SK Hyper as a wholly owned developer that secures sites, power, substations, water and anchor customers. The issuer's presentation shows an initial 137MW base, a phased 5GW goal opening from 2029, and a later 15GW ambition. The larger number is not a current order backlog. The August release places the ultimate expansion into a longer horizon, including 2035.

The 27 August definitive Horizon agreement is more concrete. KKR and the IMM consortium are to invest a combined KRW3.08tn, ending with 29% and 20% ownership respectively after the investment phases. SKT retains 51% and control. Establishment is targeted for Q1 2027, subject to approvals. Horizon encompasses existing DC assets, projects including Ulsan and Guro, and submarine cables, with a 318MW plan. Its ownership is separate from the initial 100% ownership of Hyper.

The model therefore removes 49% of normalized Horizon operating profit from parent earnings starting Q1 2027, ahead of the assumed completion of all financing phases. It tracks Horizon cash and new project debt separately and credits only the parent's share. It does not add the whole KRW3.08tn investment cheque to parent distributable cash. The final transaction balance sheet is unavailable; all legacy consolidated debt and leases remain charged to parent, a conservative allocation until the carve-out is documented.

Hyper's KRW750bn initial commitment is separate from the Horizon funding. KRW330bn was contributed in July, with the remainder intended for later installments. A transfer to a consolidated subsidiary is not itself a second group cash expense. The model assumes that capital is spent on land and power infrastructure: KRW330bn in Q3 2026 and KRW420bn over 2027. It also funds a separate USD480m affiliate investment commitment through June 2030. Neither receives an invented investment gain.



SK Telecom Q2 2026 issuer investor presentation | Issuer Q2 2026 presentation, page 7: SKHyper begins 100% owned, while the 5 GW phase opens from 2029. Future project ownership is not stated. Horizon's later 49% outside ownership is a separate August transaction.

What the latest earnings actually demonstrate

Q2 consolidated revenue was KRW4,359.1bn and operating profit KRW566bn. H1 totals were KRW8,751.4bn and KRW1,103.6bn. Profit rose against the incident-affected prior year and improved sequentially through cost control. The comparison effect matters: this is partly normalized telecom earnings returning, not all incremental AI demand.

Mobile service revenue and comparable ARPU remained under pressure. The issuer revised the classification of authentication revenue, so the comparable Q1 ARPU in the Q2 table is used instead of mixing it with an unrevised earlier figure. Customer additions were positive but did not erase the prior loss. Marketing spending remained meaningful. A separate churn/cost branch preserves downside rather than assuming a straight recovery.

The reference 2026 path assumes KRW17.6tn revenue and KRW2.15tn consolidated operating profit. These are analyst estimates, not issuer annual guidance. Actual H1 is subtracted before allocating the remaining two

quarters. The bridge therefore reconciles actual results plus the forecast remainder to the stated annual reference. Product margins and functional costs are analytical allocations because the issuer's disclosed segments and expense presentation do not provide every required product detail.

Both the May and August management-call records were reviewed. They emphasize restoring customer trust, disciplined capital allocation, external financing and the impossibility of funding the entire multi-gigawatt system internally. The public August transcript stops after the last analyst question; the linked issuer subtitle PDF is unavailable. This review does not invent the missing answer or present the transcript as complete.

Reference growth and incremental evidence

The reference revenue path separates mobile service, low-margin retail, fixed connectivity, DC/cables and AI services. Mobile revenue grows slowly, while DC/cable revenue expands from KRW570bn in 2026 to KRW780bn in 2027 and KRW1.7tn in 2030. AI services rise from KRW230bn to KRW820bn. The latter paths are assumptions about qualified capacity, utilization, power pass-through, cables and customer adoption, not direct conversions of a broad AI market forecast.

The DC increment has a 55% probability, a 50% overlap reserve and a 33% fully costed operating contribution on residual revenue. Its conditional annual sales increment is KRW50bn in 2027, KRW120bn in 2028, KRW220bn in 2029 and KRW320bn in 2030. The reference already contains a large ramp, which is why half of the conditional increment is reserved for overlap. Parent attribution, investment spending, depreciation, tax and working capital follow the same branch.

AI services receive a separate 40% probability on conditional annual increments of KRW40bn, KRW100bn, KRW180bn and KRW260bn from 2027 through 2030. Again, half is reserved for overlap. A 45% gross contribution less 25% incremental development and support leaves 20% operating contribution. This is deliberately below a high-margin software assumption.

Hyper receives no reference developer revenue before a successful operating/project contract. A 30% branch begins in 2029 with KRW150bn gross conditional fees and reaches KRW400bn in 2030. The bounded proxy is a small fraction of the announced capacity, with fees per accepted MW rather than ownership of the whole construction or GPU bill. After 50% overlap and delivery costs, the residual contributes 35% operating margin. This branch remains small near the active valuation horizon because the issuer's own phase timing is later.

A scarcity-pricing branch is retained at 30% probability. It models a 3% premium on only 20% of reference DC orders, representing new or repriceable contracts, then removes 75% for overlap with existing mix and utilization assumptions. Incremental power procurement and support costs remain charged. No current rate card establishes broad pricing power, so the branch is bounded rather than automatically set to zero or extrapolated across all capacity.

The mobile downside branch assigns 25% probability to a 1.5% service-revenue shortfall with 50% overlap against an already cautious reference. Lost sales have a 50% contribution margin. This captures the asymmetry that marketing, network and customer-service costs do not fall instantly when subscribers disappoint.

Cash, claims and shareholder ownership

All operating and financing amounts in the calculation are USD millions. Native KRW billion assumptions are converted once using the 9 October 16:00 UTC XE mid-market rate of KRW1,342.2108282840722 per USD. The NYSE quote is a later same-day market close, so the two observation times are recorded rather than called simultaneous. FX remains fixed for the scenario; a change requires a model refresh.

The share denominator includes every issued ordinary share, including treasury, to reserve for possible reissuance. The June filing reports 214,790,053 issued ordinary shares and 1,732,142 treasury shares. Each ADS represents 5/9 ordinary share, producing 386.6220954m equivalent ADSs. The model does not divide by the number of physically outstanding ADR receipts or confuse an ADS with half an ordinary share.

Opening liquid resources are KRW2,003.430bn, comprising cash and short-term financial instruments. Short-term securities are excluded. Financial debt is KRW8,772.918bn. Claims also include KRW1,376.233bn leases, KRW400bn hybrid face value and KRW180.603bn spectrum payables. The hybrid appears in accounting equity but is still senior to the common-equity value being estimated. Spectrum payments are amortized in the funding path and a future renewal cash reserve prevents a spurious free-cash-flow windfall.

Long-term investment securities are not operating profit or spendable cash. The model separately credits 50% of their June carrying value after subtracting the entire consolidated deferred-tax liability. This is a conservative, explicitly uncertain recovery assumption, not a claimed Anthropic sale valuation. Investments in associates, derivative assets and pension surplus receive no extra value. The scenario without any investment credit shows the dependence on this choice.

Parent and Horizon have separate quarterly cash schedules. Parent retains a KRW750bn operating reserve; Horizon retains KRW100bn. Partner funding is assumed in three tranches over 2027-29 because the actual schedule is undisclosed. Existing debt is refinanced within explicit borrowing bounds, with interest charged. The additional parent limit is KRW2tn and the separate Horizon debt limit KRW3tn; these are financing conditions, not identified committed project facilities.

The cash budget distinguishes equipment additions from payments. H1 equipment capex in the presentation was KRW623.5bn, while the filing reports KRW809.967bn cash PP&E purchases plus KRW31.233bn intangible purchases. Forecast budgets use cash expenditures, not an assumed equality between orders, additions and cash. All current R&D and SBC remain expensed. Depreciation is in operating costs and added back only in the cash flow. Lease principal, hybrid coupons, taxes, dividends, spectrum renewals and affiliate calls are paid separately.

What would change the view

The highest-value evidence would be the final Horizon opening balance sheet, investment tranche dates, customer-signed capacity commitments, an occupied/energized MW schedule, rate cards, project debt terms and guarantees. For Hyper, project ownership, contracted fees and acceptance timing matter more than a repeated long-range GW headline. For the core, comparable subscriber retention, ARPU and recurring costs determine whether restored profit can persist.

Counter-evidence includes delayed energization, power or water constraints, weaker customer utilization, a shift to lower-margin power pass-through, tougher mobile competition, further security costs, and capital calls that consume cash before monetization. A third party providing construction capital is not proof that common shareholders keep the entire upside. The full sensitivity package rebuilds these dependencies, including a joint case with no favorable branches, a 30% DC delay, full churn shock, capex 30% higher, funding delayed one year and no investment credit.

The central cash path passes its financing conditions: peak parent debt is $6,777.30m against an $8,026.25m bound; peak new Horizon debt is $43.38m against a $2,235.12m bound. Parent and Horizon retain minimum reserves of $558.78m and $74.50m. The joint stress requires peak parent debt of $8,965.78m, above the bound by about $940m, while Horizon reaches $1,617.51m. That case fails the parent financing condition. Its mathematical ceiling is not a financeable alternative without more debt capacity, equity, lower dividends or a smaller build. The capex-only 30% overrun also breaches the long-run parent bound. This matters even though

the cash schedule mechanically holds a minimum reserve by drawing additional debt: a cash floor is not proof that a loan is available.

This company can be a useful AI infrastructure exposure, but its current economic base remains telecom. The model supports a re-rating-led description with later growth optionality, and its most important uncertainty is how much of the future infrastructure profit survives the financing and ownership structure.

Source and validation record

Issuer Q1/Q2 presentations and releases, the 27 August Horizon release, the July Hyper release and June NVIDIA partnership establish business scope. The September SEC semiannual filing supplies detailed shares, debt, leases, hybrid, spectrum and investment commitments. The public call transcripts preserve management's financing interpretation. Original available files, SHA-256 hashes, the two inspected source exhibits, individual claim dispositions and access limitations are retained beside this model.

The calculation contains 18 operating quarters and 15 forward-four-quarter ceilings. Validation reconciles H1 actuals with the remaining 2026 reference, checks operating-profit arithmetic and ADS conversion, and compares each ceiling against independently summed window earnings and matched end-window claims. The sensitivity file reports the minimum cash and maximum debt for each financing perimeter, including failures where a borrowing bound is exceeded. The saved artifact and linked model retain these checks and financing limitations; coverage does not establish a holding.

Quarterly ownership and funding reconciliation

USD million. Partner capital belongs to Horizon. Parent cash excludes the required operating reserve in valuation, and only 51% of Horizon surplus cash and new debt is attributed after 2026. All historical unallocated debt remains charged to parent pending the carve-out balance sheet. Borrowing limits are explicit analytical conditions, not committed facilities.

Quarter	Parent end cash	Parent debt	Horizon end cash	Horizon debt	Outside Horizon equity	Parent OP
Q3 2026	768.1	6,536.2	74.5	3.0	0.0	386.2
Q4 2026	558.8	6,696.6	74.5	43.4	0.0	386.2
Q1 2027	558.8	6,725.0	660.3	43.4	745.0	430.3
Q2 2027	558.8	6,777.3	520.5	43.4	0.0	430.3
Q3 2027	573.5	6,777.3	380.0	43.4	0.0	430.3
Q4 2027	588.3	6,777.3	238.9	43.4	0.0	430.3
Q1 2028	645.7	6,777.3	781.7	43.4	745.0	480.7
Q2 2028	685.3	6,777.3	607.4	43.4	0.0	480.7
Q3 2028	792.3	6,777.3	432.2	43.4	0.0	480.7
Q4 2028	899.8	6,777.3	256.2	43.4	0.0	480.7
Q1 2029	976.3	6,777.3	881.7	43.4	804.6	531.6
Q2 2029	1,106.8	6,777.3	729.9	43.4	0.0	531.6

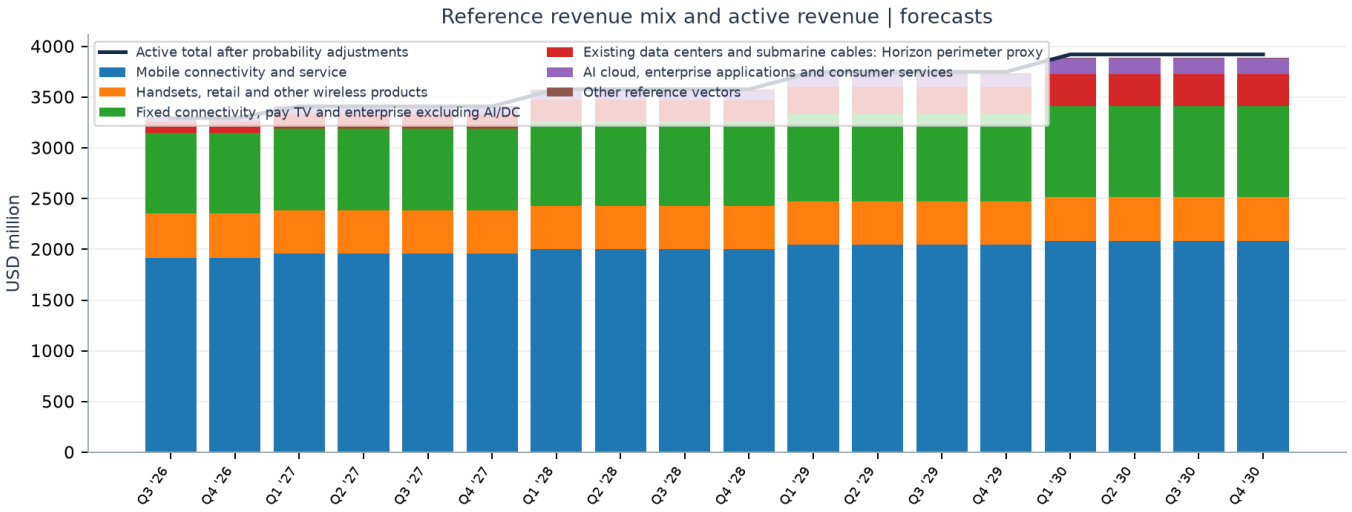
Quarter	Parent end cash	Parent debt	Horizon end cash	Horizon debt	Outside Horizon equity	Parent OP
Q3 2029	1,237.8	6,777.3	577.4	43.4	0.0	531.6
Q4 2029	1,369.4	6,777.3	424.1	43.4	0.0	531.6
Q1 2030	1,468.1	6,777.3	342.4	43.4	0.0	579.8
Q2 2030	1,620.2	6,777.3	284.6	43.4	0.0	579.8
Q3 2030	1,803.1	6,777.3	226.6	43.4	0.0	579.8
Q4 2030	1,986.8	6,777.3	168.3	43.4	0.0	579.8

The cash reserve is funded only conditionally on the borrowing assumptions. The joint downside and capex-only stress exceed the parent financing bound and cannot be treated as funded target alternatives. The saved nine-case sensitivity package rebuilds cash, debt, tax and interest. Spreadsheet probability controls hold the adopted financial claims fixed, so changing the operating cases requires a full cash-model rerun.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	Large recurring Korean mobile and fixed networks, customer relationships, connectivity and operating expertise support cash generation. Price regulation, competition and the 2025 security breach constrain the moat.
Cycle	7	Telecom profitability is recovering from the 2025 incident. Some improvement is a comparison effect, not an AI-driven acceleration.
TAM	7	Sovereign AI, cloud capacity and subsea connections add a growth market; SKM captures only owned infrastructure economics or developer/service fees.
Catalysts	3	Q3 results, the planned Q1 2027 Horizon establishment, investor funding milestones, Ulsan commissioning and named anchor-customer contracts.
Macro	7	Power-constrained Asian demand and Korea's infrastructure are supportive. GPU access, utility connections, FX and financing remain material.
Alpha	3	The model separates existing 137 MW, Horizon's 318 MW plan, Hyper's 5 GW/15 GW goals, and USD 480 m affiliate capital calls.
Risk classes	-3	Three points deducted for project/customer and funding uncertainty, unallocated carve-out liabilities, regulation, related-party capital allocation and private-asset valuation.
Total	40/60	Rounded Base 67. Both artifact and new workbook row use this score; this is not a manual override.

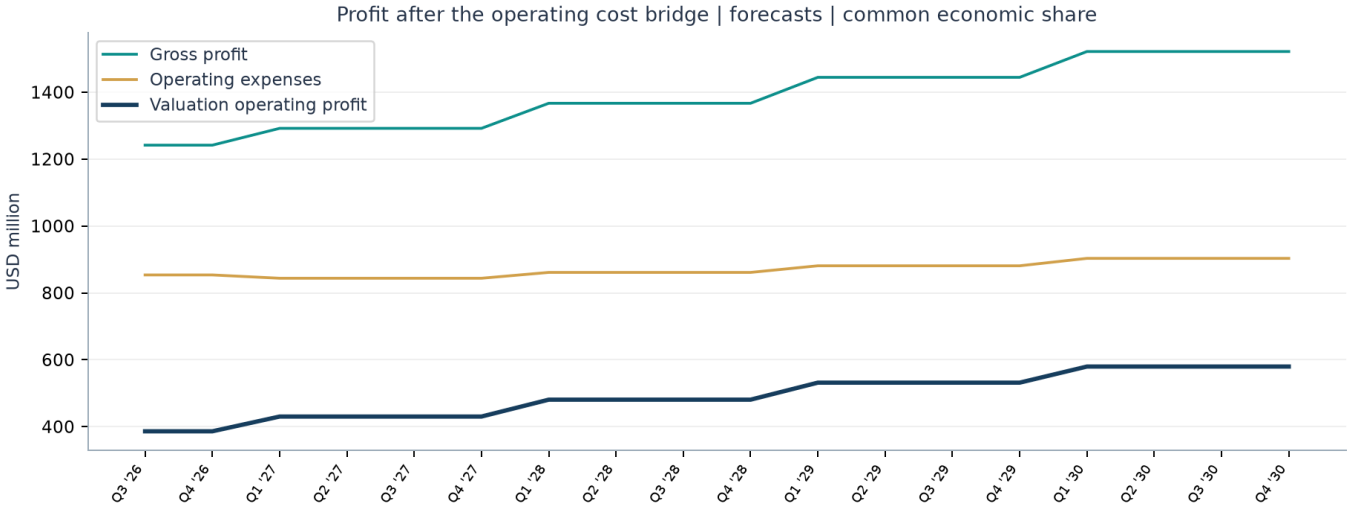
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	3,296.3	-3.5	3,292.7
Q4 2026	3,296.3	-3.5	3,292.7
Q1 2027	3,408.6	0.4	3,409.0
Q2 2027	3,408.6	0.4	3,409.0
Q3 2027	3,408.6	0.4	3,409.0
Q4 2027	3,408.6	0.4	3,409.0
Q1 2028	3,570.6	6.2	3,576.8
Q2 2028	3,570.6	6.2	3,576.8
Q3 2028	3,570.6	6.2	3,576.8
Q4 2028	3,570.6	6.2	3,576.8
Q1 2029	3,730.8	18.4	3,749.2
Q2 2029	3,730.8	18.4	3,749.2
Q3 2029	3,730.8	18.4	3,749.2
Q4 2029	3,730.8	18.4	3,749.2
Q1 2030	3,887.2	33.5	3,920.7
Q2 2030	3,887.2	33.5	3,920.7
Q3 2030	3,887.2	33.5	3,920.7
Q4 2030	3,887.2	33.5	3,920.7

Gross profit, operating expenses and earnings

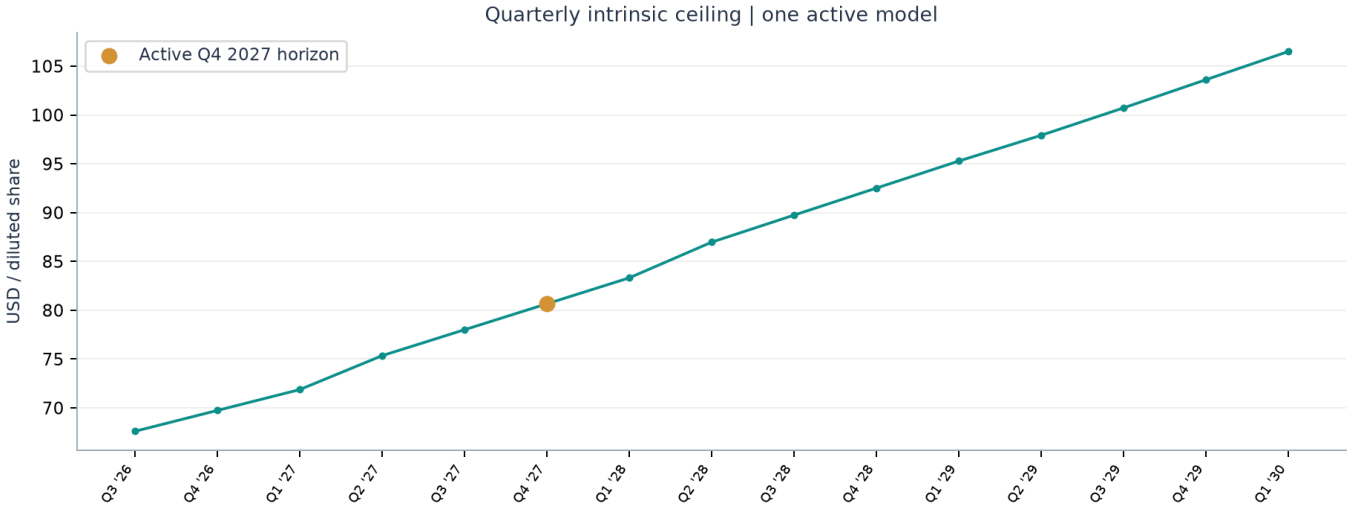


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,292.7	1,241.7	853.7	386.2	11.7%
Q4 2026 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,292.7	1,241.7	853.7	386.2	11.7%
Q1 2027 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,409.0	1,292.0	843.8	430.3	12.6%
Q2 2027 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,409.0	1,292.0	843.8	430.3	12.6%
Q3 2027 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,409.0	1,292.0	843.8	430.3	12.6%
Q4 2027 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,409.0	1,292.0	843.8	430.3	12.6%
Q1 2028 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,576.8	1,367.0	861.2	480.7	13.4%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2028 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,576.8	1,367.0	861.2	480.7	13.4%
Q3 2028 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,576.8	1,367.0	861.2	480.7	13.4%
Q4 2028 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,576.8	1,367.0	861.2	480.7	13.4%
Q1 2029 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,749.2	1,444.5	881.0	531.6	14.2%
Q2 2029 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,749.2	1,444.5	881.0	531.6	14.2%
Q3 2029 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,749.2	1,444.5	881.0	531.6	14.2%
Q4 2029 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,749.2	1,444.5	881.0	531.6	14.2%
Q1 2030 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,920.7	1,521.7	903.2	579.8	14.8%
Q2 2030 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,920.7	1,521.7	903.2	579.8	14.8%
Q3 2030 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,920.7	1,521.7	903.2	579.8	14.8%
Q4 2030 / Analyst forecast; USD millions translated at fixed 9 October 2026 FX	3,920.7	1,521.7	903.2	579.8	14.8%

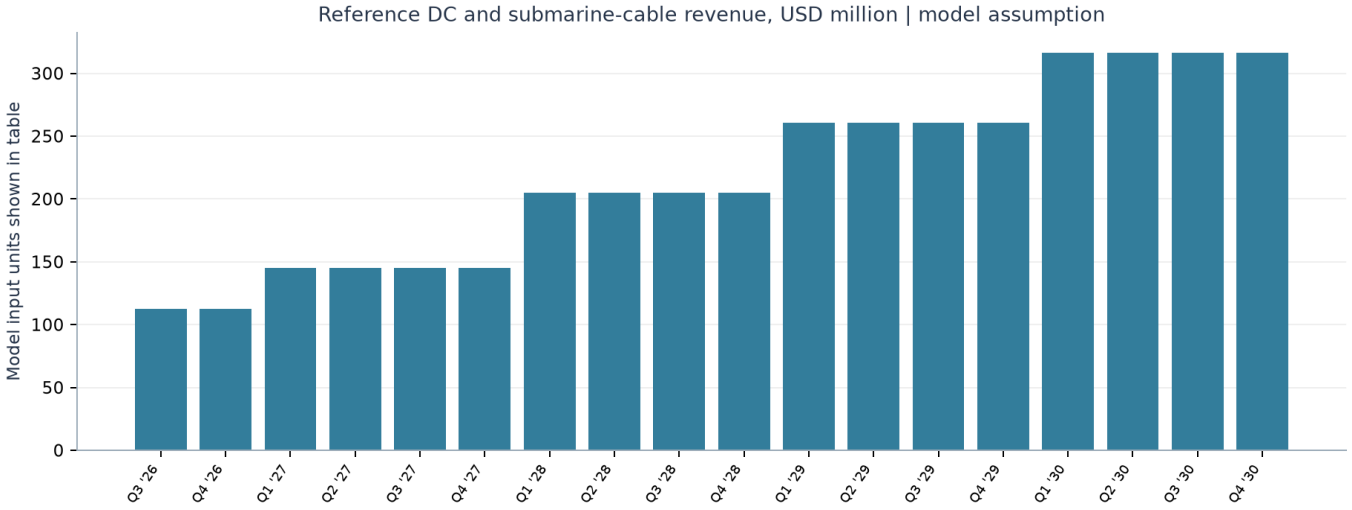
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	1,632.9	20x	386.622	67.60
Q4 2026	Q4 2026 to Q3 2027	1,677.0	20x	386.622	69.74
Q1 2027	Q1 2027 to Q4 2027	1,721.1	20x	386.622	71.87
Q2 2027	Q2 2027 to Q1 2028	1,771.6	20x	386.622	75.35
Q3 2027	Q3 2027 to Q2 2028	1,822.0	20x	386.622	78.00
Q4 2027	Q4 2027 to Q3 2028	1,872.5	20x	386.622	80.66
Q1 2028	Q1 2028 to Q4 2028	1,923.0	20x	386.622	83.32
Q2 2028	Q2 2028 to Q1 2029	1,973.9	20x	386.622	86.97
Q3 2028	Q3 2028 to Q2 2029	2,024.8	20x	386.622	89.74
Q4 2028	Q4 2028 to Q3 2029	2,075.6	20x	386.622	92.51
Q1 2029	Q1 2029 to Q4 2029	2,126.5	20x	386.622	95.28
Q2 2029	Q2 2029 to Q1 2030	2,174.7	20x	386.622	97.92
Q3 2029	Q3 2029 to Q2 2030	2,222.8	20x	386.622	100.73
Q4 2029	Q4 2029 to Q3 2030	2,270.9	20x	386.622	103.61
Q1 2030	Q1 2030 to Q4 2030	2,319.1	20x	386.622	106.50

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference DC and submarine-cable revenue, USD million	Status
Q3 2026	112.650	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q4 2026	112.650	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q1 2027	145.283	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q2 2027	145.283	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q3 2027	145.283	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q4 2027	145.283	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q1 2028	204.886	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q2 2028	204.886	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q3 2028	204.886	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q4 2028	204.886	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q1 2029	260.764	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q2 2029	260.764	Analyst forecast; USD millions translated at fixed 9 October 2026 FX

Quarter	Reference DC and submarine-cable revenue, USD million	Status
Q3 2029	260.764	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q4 2029	260.764	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q1 2030	316.642	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q2 2030	316.642	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q3 2030	316.642	Analyst forecast; USD millions translated at fixed 9 October 2026 FX
Q4 2030	316.642	Analyst forecast; USD millions translated at fixed 9 October 2026 FX

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Mobile connectivity and service	1,918.1	45.0%	863.1
Q3 2026	Handsets, retail and other wireless products	439.6	12.0%	52.7
Q3 2026	Fixed connectivity, pay TV and enterprise excluding AI/DC	787.9	32.0%	252.1
Q3 2026	Existing data centers and submarine cables: Horizon perimeter proxy	112.6	50.0%	56.3
Q3 2026	AI cloud, enterprise applications and consumer services	46.1	45.0%	20.7
Q3 2026	Other operations and eliminations	-8.0	20.0%	-1.6
Q3 2026	Hyper development and operating services	0.0	55.0%	0.0
Q4 2026	Mobile connectivity and service	1,918.1	45.0%	863.1
Q4 2026	Handsets, retail and other wireless products	439.6	12.0%	52.7
Q4 2026	Fixed connectivity, pay TV and enterprise excluding AI/DC	787.9	32.0%	252.1
Q4 2026	Existing data centers and submarine cables: Horizon perimeter proxy	112.6	50.0%	56.3
Q4 2026	AI cloud, enterprise applications and consumer services	46.1	45.0%	20.7
Q4 2026	Other operations and eliminations	-8.0	20.0%	-1.6
Q4 2026	Hyper development and operating services	0.0	55.0%	0.0
Q1 2027	Mobile connectivity and service	1,955.7	45.0%	880.1
Q1 2027	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q1 2027	Fixed connectivity, pay TV and enterprise excluding AI/DC	804.6	32.0%	257.5
Q1 2027	Existing data centers and submarine cables: Horizon perimeter proxy	145.3	50.0%	72.6
Q1 2027	AI cloud, enterprise applications and consumer services	61.5	45.0%	27.7
Q1 2027	Other operations and eliminations	13.0	20.0%	2.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2027	Hyper development and operating services	0.0	55.0%	0.0
Q2 2027	Mobile connectivity and service	1,955.7	45.0%	880.1
Q2 2027	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q2 2027	Fixed connectivity, pay TV and enterprise excluding AI/DC	804.6	32.0%	257.5
Q2 2027	Existing data centers and submarine cables: Horizon perimeter proxy	145.3	50.0%	72.6
Q2 2027	AI cloud, enterprise applications and consumer services	61.5	45.0%	27.7
Q2 2027	Other operations and eliminations	13.0	20.0%	2.6
Q2 2027	Hyper development and operating services	0.0	55.0%	0.0
Q3 2027	Mobile connectivity and service	1,955.7	45.0%	880.1
Q3 2027	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q3 2027	Fixed connectivity, pay TV and enterprise excluding AI/DC	804.6	32.0%	257.5
Q3 2027	Existing data centers and submarine cables: Horizon perimeter proxy	145.3	50.0%	72.6
Q3 2027	AI cloud, enterprise applications and consumer services	61.5	45.0%	27.7
Q3 2027	Other operations and eliminations	13.0	20.0%	2.6
Q3 2027	Hyper development and operating services	0.0	55.0%	0.0
Q4 2027	Mobile connectivity and service	1,955.7	45.0%	880.1
Q4 2027	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q4 2027	Fixed connectivity, pay TV and enterprise excluding AI/DC	804.6	32.0%	257.5
Q4 2027	Existing data centers and submarine cables: Horizon perimeter proxy	145.3	50.0%	72.6
Q4 2027	AI cloud, enterprise applications and consumer services	61.5	45.0%	27.7
Q4 2027	Other operations and eliminations	13.0	20.0%	2.6
Q4 2027	Hyper development and operating services	0.0	55.0%	0.0
Q1 2028	Mobile connectivity and service	2,002.3	45.0%	901.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q1 2028	Fixed connectivity, pay TV and enterprise excluding AI/DC	836.3	32.0%	267.6
Q1 2028	Existing data centers and submarine cables: Horizon perimeter proxy	204.9	50.0%	102.4
Q1 2028	AI cloud, enterprise applications and consumer services	87.5	45.0%	39.4
Q1 2028	Other operations and eliminations	11.2	20.0%	2.2
Q1 2028	Hyper development and operating services	0.0	55.0%	0.0
Q2 2028	Mobile connectivity and service	2,002.3	45.0%	901.0
Q2 2028	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q2 2028	Fixed connectivity, pay TV and enterprise excluding AI/DC	836.3	32.0%	267.6
Q2 2028	Existing data centers and submarine cables: Horizon perimeter proxy	204.9	50.0%	102.4
Q2 2028	AI cloud, enterprise applications and consumer services	87.5	45.0%	39.4
Q2 2028	Other operations and eliminations	11.2	20.0%	2.2
Q2 2028	Hyper development and operating services	0.0	55.0%	0.0
Q3 2028	Mobile connectivity and service	2,002.3	45.0%	901.0
Q3 2028	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q3 2028	Fixed connectivity, pay TV and enterprise excluding AI/DC	836.3	32.0%	267.6
Q3 2028	Existing data centers and submarine cables: Horizon perimeter proxy	204.9	50.0%	102.4
Q3 2028	AI cloud, enterprise applications and consumer services	87.5	45.0%	39.4
Q3 2028	Other operations and eliminations	11.2	20.0%	2.2
Q3 2028	Hyper development and operating services	0.0	55.0%	0.0
Q4 2028	Mobile connectivity and service	2,002.3	45.0%	901.0
Q4 2028	Handsets, retail and other wireless products	428.4	12.0%	51.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Fixed connectivity, pay TV and enterprise excluding AI/DC	836.3	32.0%	267.6
Q4 2028	Existing data centers and submarine cables: Horizon perimeter proxy	204.9	50.0%	102.4
Q4 2028	AI cloud, enterprise applications and consumer services	87.5	45.0%	39.4
Q4 2028	Other operations and eliminations	11.2	20.0%	2.2
Q4 2028	Hyper development and operating services	0.0	55.0%	0.0
Q1 2029	Mobile connectivity and service	2,045.1	45.0%	920.3
Q1 2029	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q1 2029	Fixed connectivity, pay TV and enterprise excluding AI/DC	866.1	32.0%	277.2
Q1 2029	Existing data centers and submarine cables: Horizon perimeter proxy	260.8	50.0%	130.4
Q1 2029	AI cloud, enterprise applications and consumer services	121.1	45.0%	54.5
Q1 2029	Other operations and eliminations	9.3	20.0%	1.9
Q1 2029	Hyper development and operating services	0.0	55.0%	0.0
Q2 2029	Mobile connectivity and service	2,045.1	45.0%	920.3
Q2 2029	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q2 2029	Fixed connectivity, pay TV and enterprise excluding AI/DC	866.1	32.0%	277.2
Q2 2029	Existing data centers and submarine cables: Horizon perimeter proxy	260.8	50.0%	130.4
Q2 2029	AI cloud, enterprise applications and consumer services	121.1	45.0%	54.5
Q2 2029	Other operations and eliminations	9.3	20.0%	1.9
Q2 2029	Hyper development and operating services	0.0	55.0%	0.0
Q3 2029	Mobile connectivity and service	2,045.1	45.0%	920.3
Q3 2029	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q3 2029	Fixed connectivity, pay TV and enterprise excluding AI/DC	866.1	32.0%	277.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	Existing data centers and submarine cables: Horizon perimeter proxy	260.8	50.0%	130.4
Q3 2029	AI cloud, enterprise applications and consumer services	121.1	45.0%	54.5
Q3 2029	Other operations and eliminations	9.3	20.0%	1.9
Q3 2029	Hyper development and operating services	0.0	55.0%	0.0
Q4 2029	Mobile connectivity and service	2,045.1	45.0%	920.3
Q4 2029	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q4 2029	Fixed connectivity, pay TV and enterprise excluding AI/DC	866.1	32.0%	277.2
Q4 2029	Existing data centers and submarine cables: Horizon perimeter proxy	260.8	50.0%	130.4
Q4 2029	AI cloud, enterprise applications and consumer services	121.1	45.0%	54.5
Q4 2029	Other operations and eliminations	9.3	20.0%	1.9
Q4 2029	Hyper development and operating services	0.0	55.0%	0.0
Q1 2030	Mobile connectivity and service	2,086.1	45.0%	938.7
Q1 2030	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q1 2030	Fixed connectivity, pay TV and enterprise excluding AI/DC	894.0	32.0%	286.1
Q1 2030	Existing data centers and submarine cables: Horizon perimeter proxy	316.6	50.0%	158.3
Q1 2030	AI cloud, enterprise applications and consumer services	152.7	45.0%	68.7
Q1 2030	Other operations and eliminations	9.3	20.0%	1.9
Q1 2030	Hyper development and operating services	0.0	55.0%	0.0
Q2 2030	Mobile connectivity and service	2,086.1	45.0%	938.7
Q2 2030	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q2 2030	Fixed connectivity, pay TV and enterprise excluding AI/DC	894.0	32.0%	286.1
Q2 2030	Existing data centers and submarine cables: Horizon perimeter proxy	316.6	50.0%	158.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	AI cloud, enterprise applications and consumer services	152.7	45.0%	68.7
Q2 2030	Other operations and eliminations	9.3	20.0%	1.9
Q2 2030	Hyper development and operating services	0.0	55.0%	0.0
Q3 2030	Mobile connectivity and service	2,086.1	45.0%	938.7
Q3 2030	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q3 2030	Fixed connectivity, pay TV and enterprise excluding AI/DC	894.0	32.0%	286.1
Q3 2030	Existing data centers and submarine cables: Horizon perimeter proxy	316.6	50.0%	158.3
Q3 2030	AI cloud, enterprise applications and consumer services	152.7	45.0%	68.7
Q3 2030	Other operations and eliminations	9.3	20.0%	1.9
Q3 2030	Hyper development and operating services	0.0	55.0%	0.0
Q4 2030	Mobile connectivity and service	2,086.1	45.0%	938.7
Q4 2030	Handsets, retail and other wireless products	428.4	12.0%	51.4
Q4 2030	Fixed connectivity, pay TV and enterprise excluding AI/DC	894.0	32.0%	286.1
Q4 2030	Existing data centers and submarine cables: Horizon perimeter proxy	316.6	50.0%	158.3
Q4 2030	AI cloud, enterprise applications and consumer services	152.7	45.0%	68.7
Q4 2030	Other operations and eliminations	9.3	20.0%	1.9
Q4 2030	Hyper development and operating services	0.0	55.0%	0.0

Operating-cost derivation

Quarter	Fully expensed R&D and technical development	Selling, administration, service support, marketing and SBC	Other operating costs, security and restructuring reserve
Q3 2026	111.8	686.0	55.9
Q4 2026	111.8	686.0	55.9
Q1 2027	119.2	666.0	57.7
Q2 2027	119.2	666.0	57.7
Q3 2027	119.2	666.0	57.7
Q4 2027	119.2	666.0	57.7
Q1 2028	128.5	670.3	60.5
Q2 2028	128.5	670.3	60.5
Q3 2028	128.5	670.3	60.5
Q4 2028	128.5	670.3	60.5
Q1 2029	137.8	675.7	63.3
Q2 2029	137.8	675.7	63.3
Q3 2029	137.8	675.7	63.3
Q4 2029	137.8	675.7	63.3
Q1 2030	149.0	681.0	66.1
Q2 2030	149.0	681.0	66.1
Q3 2030	149.0	681.0	66.1
Q4 2030	149.0	681.0	66.1

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	SKM-QUALIFIED-DC	55%	0.0	0.0	0.0	0.0
Q3 2026	SKM-AI-SERVICES	40%	0.0	0.0	0.0	0.0
Q3 2026	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q3 2026	SKM-QUALIFIED-PRICE	30%	0.2	0.1	0.0	0.0
Q3 2026	SKM-MOBILE-CHURN	25%	-14.4	-7.2	0.0	-1.8
Q4 2026	SKM-QUALIFIED-DC	55%	0.0	0.0	0.0	0.0
Q4 2026	SKM-AI-SERVICES	40%	0.0	0.0	0.0	0.0
Q4 2026	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q4 2026	SKM-QUALIFIED-PRICE	30%	0.2	0.1	0.0	0.0
Q4 2026	SKM-MOBILE-CHURN	25%	-14.4	-7.2	0.0	-1.8
Q1 2027	SKM-QUALIFIED-DC	55%	4.7	2.2	0.7	0.4
Q1 2027	SKM-AI-SERVICES	40%	3.7	1.7	0.9	0.3
Q1 2027	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q1 2027	SKM-QUALIFIED-PRICE	30%	0.2	0.2	0.0	0.0
Q1 2027	SKM-MOBILE-CHURN	25%	-14.7	-7.3	0.0	-1.8
Q2 2027	SKM-QUALIFIED-DC	55%	4.7	2.2	0.7	0.4
Q2 2027	SKM-AI-SERVICES	40%	3.7	1.7	0.9	0.3
Q2 2027	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q2 2027	SKM-QUALIFIED-PRICE	30%	0.2	0.2	0.0	0.0
Q2 2027	SKM-MOBILE-CHURN	25%	-14.7	-7.3	0.0	-1.8
Q3 2027	SKM-QUALIFIED-DC	55%	4.7	2.2	0.7	0.4
Q3 2027	SKM-AI-SERVICES	40%	3.7	1.7	0.9	0.3
Q3 2027	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q3 2027	SKM-QUALIFIED-PRICE	30%	0.2	0.2	0.0	0.0
Q3 2027	SKM-MOBILE-CHURN	25%	-14.7	-7.3	0.0	-1.8
Q4 2027	SKM-QUALIFIED-DC	55%	4.7	2.2	0.7	0.4
Q4 2027	SKM-AI-SERVICES	40%	3.7	1.7	0.9	0.3
Q4 2027	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	SKM-QUALIFIED-PRICE	30%	0.2	0.2	0.0	0.0
Q4 2027	SKM-MOBILE-CHURN	25%	-14.7	-7.3	0.0	-1.8
Q1 2028	SKM-QUALIFIED-DC	55%	11.2	5.4	1.7	1.0
Q1 2028	SKM-AI-SERVICES	40%	9.3	4.2	2.3	0.7
Q1 2028	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q1 2028	SKM-QUALIFIED-PRICE	30%	0.3	0.2	0.1	0.0
Q1 2028	SKM-MOBILE-CHURN	25%	-15.0	-7.5	0.0	-1.9
Q2 2028	SKM-QUALIFIED-DC	55%	11.2	5.4	1.7	1.0
Q2 2028	SKM-AI-SERVICES	40%	9.3	4.2	2.3	0.7
Q2 2028	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q2 2028	SKM-QUALIFIED-PRICE	30%	0.3	0.2	0.1	0.0
Q2 2028	SKM-MOBILE-CHURN	25%	-15.0	-7.5	0.0	-1.9
Q3 2028	SKM-QUALIFIED-DC	55%	11.2	5.4	1.7	1.0
Q3 2028	SKM-AI-SERVICES	40%	9.3	4.2	2.3	0.7
Q3 2028	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q3 2028	SKM-QUALIFIED-PRICE	30%	0.3	0.2	0.1	0.0
Q3 2028	SKM-MOBILE-CHURN	25%	-15.0	-7.5	0.0	-1.9
Q4 2028	SKM-QUALIFIED-DC	55%	11.2	5.4	1.7	1.0
Q4 2028	SKM-AI-SERVICES	40%	9.3	4.2	2.3	0.7
Q4 2028	SKM-HYPER-FEES	30%	0.0	0.0	0.0	0.0
Q4 2028	SKM-QUALIFIED-PRICE	30%	0.3	0.2	0.1	0.0
Q4 2028	SKM-MOBILE-CHURN	25%	-15.0	-7.5	0.0	-1.9
Q1 2029	SKM-QUALIFIED-DC	55%	20.5	9.8	3.1	1.9
Q1 2029	SKM-AI-SERVICES	40%	16.8	7.5	4.2	1.3
Q1 2029	SKM-HYPER-FEES	30%	14.0	7.7	2.8	1.5
Q1 2029	SKM-QUALIFIED-PRICE	30%	0.4	0.3	0.1	0.0
Q1 2029	SKM-MOBILE-CHURN	25%	-15.3	-7.7	0.0	-1.9
Q2 2029	SKM-QUALIFIED-DC	55%	20.5	9.8	3.1	1.9
Q2 2029	SKM-AI-SERVICES	40%	16.8	7.5	4.2	1.3
Q2 2029	SKM-HYPER-FEES	30%	14.0	7.7	2.8	1.5
Q2 2029	SKM-QUALIFIED-PRICE	30%	0.4	0.3	0.1	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	SKM-MOBILE-CHURN	25%	-15.3	-7.7	0.0	-1.9
Q3 2029	SKM-QUALIFIED-DC	55%	20.5	9.8	3.1	1.9
Q3 2029	SKM-AI-SERVICES	40%	16.8	7.5	4.2	1.3
Q3 2029	SKM-HYPER-FEES	30%	14.0	7.7	2.8	1.5
Q3 2029	SKM-QUALIFIED-PRICE	30%	0.4	0.3	0.1	0.0
Q3 2029	SKM-MOBILE-CHURN	25%	-15.3	-7.7	0.0	-1.9
Q4 2029	SKM-QUALIFIED-DC	55%	20.5	9.8	3.1	1.9
Q4 2029	SKM-AI-SERVICES	40%	16.8	7.5	4.2	1.3
Q4 2029	SKM-HYPER-FEES	30%	14.0	7.7	2.8	1.5
Q4 2029	SKM-QUALIFIED-PRICE	30%	0.4	0.3	0.1	0.0
Q4 2029	SKM-MOBILE-CHURN	25%	-15.3	-7.7	0.0	-1.9
Q1 2030	SKM-QUALIFIED-DC	55%	29.8	14.3	4.5	2.8
Q1 2030	SKM-AI-SERVICES	40%	24.2	10.9	6.1	1.9
Q1 2030	SKM-HYPER-FEES	30%	37.3	20.5	7.5	3.9
Q1 2030	SKM-QUALIFIED-PRICE	30%	0.5	0.4	0.1	0.0
Q1 2030	SKM-MOBILE-CHURN	25%	-15.6	-7.8	0.0	-2.0
Q2 2030	SKM-QUALIFIED-DC	55%	29.8	14.3	4.5	2.8
Q2 2030	SKM-AI-SERVICES	40%	24.2	10.9	6.1	1.9
Q2 2030	SKM-HYPER-FEES	30%	37.3	20.5	7.5	3.9
Q2 2030	SKM-QUALIFIED-PRICE	30%	0.5	0.4	0.1	0.0
Q2 2030	SKM-MOBILE-CHURN	25%	-15.6	-7.8	0.0	-2.0
Q3 2030	SKM-QUALIFIED-DC	55%	29.8	14.3	4.5	2.8
Q3 2030	SKM-AI-SERVICES	40%	24.2	10.9	6.1	1.9
Q3 2030	SKM-HYPER-FEES	30%	37.3	20.5	7.5	3.9
Q3 2030	SKM-QUALIFIED-PRICE	30%	0.5	0.4	0.1	0.0
Q3 2030	SKM-MOBILE-CHURN	25%	-15.6	-7.8	0.0	-2.0
Q4 2030	SKM-QUALIFIED-DC	55%	29.8	14.3	4.5	2.8
Q4 2030	SKM-AI-SERVICES	40%	24.2	10.9	6.1	1.9
Q4 2030	SKM-HYPER-FEES	30%	37.3	20.5	7.5	3.9
Q4 2030	SKM-QUALIFIED-PRICE	30%	0.5	0.4	0.1	0.0
Q4 2030	SKM-MOBILE-CHURN	25%	-15.6	-7.8	0.0	-2.0

Subsidiary ownership and common operating profit

The preceding weighted OP is after branch-specific minority earnings. Reference and conditional subsidiary profit are allocated within consolidated sales and costs, never added as a second revenue source. Ownership is reported; future subsidiary margins, volume and credit sharing are labeled assumptions.

Quarter	Consolidated OP	Reference minority	Active minority	Common OP
Q3 2026	388.0	1.9	1.9	386.2
Q4 2026	388.0	1.9	1.9	386.2
Q1 2027	448.2	17.5	18.0	430.3
Q2 2027	448.2	17.5	18.0	430.3
Q3 2027	448.2	17.5	18.0	430.3
Q4 2027	448.2	17.5	18.0	430.3
Q1 2028	505.7	23.9	25.0	480.7
Q2 2028	505.7	23.9	25.0	480.7
Q3 2028	505.7	23.9	25.0	480.7
Q4 2028	505.7	23.9	25.0	480.7
Q1 2029	563.5	30.0	31.8	531.6
Q2 2029	563.5	30.0	31.8	531.6
Q3 2029	563.5	30.0	31.8	531.6
Q4 2029	563.5	30.0	31.8	531.6
Q1 2030	618.5	36.0	38.7	579.8
Q2 2030	618.5	36.0	38.7	579.8
Q3 2030	618.5	36.0	38.7	579.8
Q4 2030	618.5	36.0	38.7	579.8

Enterprise-to-equity reconciliation

20 x parent-attributable forward-four-quarter fully expensed operating profit, quarter plus next three, less matched end-window financial claims. Operating amounts are USD millions translated once at KRW 1,342.2108282840722 per USD. Each ADS represents 5/9 of an ordinary share; the denominator is 386.6220954 m ADS equivalents from all 214.790053 m issued ordinary shares. No analyst target is imported.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	6,520.6	0.0	6,520.6	67.60
Q4 2026	Q3 2027	6,577.5	0.0	6,577.5	69.74
Q1 2027	Q4 2027	6,634.7	0.0	6,634.7	71.87
Q2 2027	Q1 2028	6,300.5	0.0	6,300.5	75.35
Q3 2027	Q2 2028	6,282.6	0.0	6,282.6	78.00
Q4 2027	Q3 2028	6,265.0	0.0	6,265.0	80.66
Q1 2028	Q4 2028	6,247.3	0.0	6,247.3	83.32
Q2 2028	Q1 2029	5,851.7	0.0	5,851.7	86.97
Q3 2028	Q2 2029	5,798.7	0.0	5,798.7	89.74
Q4 2028	Q3 2029	5,745.5	0.0	5,745.5	92.51
Q1 2029	Q4 2029	5,692.0	0.0	5,692.0	95.28
Q2 2029	Q1 2030	5,635.0	0.0	5,635.0	97.92
Q3 2029	Q2 2030	5,512.3	0.0	5,512.3	100.73
Q4 2029	Q3 2030	5,359.0	0.0	5,359.0	103.61
Q1 2030	Q4 2030	5,205.0	0.0	5,205.0	106.50

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

SKM-QUALIFIED-DC

p: 0.55

Conditional: Additional DC/submarine-cable annual revenue of KRW 0/50/120/220/320 bn in CY 2026-30 beyond reference KRW 570/780/1,100/1,400/1,700 bn.

overlap: 0.5

bridge: Reserve 50% for the utilization and construction ramp already in reference. Residual revenue earns 48% GP less 15% qualification, sales and operating support, or 33% OP. Parent receives 51% from 2027. Incremental build capex is 150% and D&A addback 10% of weighted residual sales; D&A is already charged in GP. Horizon working capital is rebuilt at 10% sales.

reason: The actual Pangyo/utilization ramp and definitive institutional capital support a nonzero expansion probability. The 318 MW plan is not booked revenue; customer acceptance and energized capacity limit the probability to 55%.

bounds: Probability 35-70%; 2028 additional sales KRW 60-180 bn; overlap 35-75%; incremental OP 20-35%.

SKM-AI-SERVICES

p: 0.4

Conditional: Additional annual AI application/cloud/service sales KRW 0/40/100/180/260 bn in CY 2026-30.

overlap: 0.5

bridge: 50% overlap reserve; 45% GP less 25% incremental development/support leaves 20% OP. Reference already grows from KRW 230 bn to 820 bn. Incremental capex 35%, with cash taxes and working capital rebuilt.

reason: Both calls discuss cloud orders, enterprise products and profitability-focused restructuring. Revenue is real but not pure recurring software; customer economics remain undisclosed.

SKM-HYPER-FEES

p: 0.3

Conditional: Developer, connection and operating-service fees of KRW 150 bn in 2029 and 400 bn in 2030, with no revenue before 2029. Illustrative gross bounds: 0.25/0.60 GW of accepted projects times USD 0.45 m of SKM fee revenue per MW gives about KRW 151/362 bn, with the higher endpoint allowing recurring services. This is not site construction or GPU rental revenue.

overlap: 0.5

bridge: 50% overlap with network, cloud and group support economics. Residual earns 55% GP less 20% project acquisition and delivery costs, or 35% OP. Initial KRW 750 bn land/power spend is funded in the core cash path regardless of success; additional capex 20% of weighted fee revenue.

reason: The issuer says phase 1 opens from 2029 and seeks outside construction capital. 30% reflects uncertain customer terms, development-fee contracts and project execution. No ownership percentage for the future project vehicles is invented.

bounds: Probability 15-45%; recognized project capacity 0-0.6 GW by 2030; fees USD 0.25-0.6 m/MW; overlap 50-100%.

SKM-QUALIFIED-PRICE

p: 0.3

Conditional: A 3% availability/qualification premium on 20% of reference DC revenue that is new or repriceable; fixed contracted capacity is excluded.

overlap: 0.75

bridge: 75% overlap reserve against reference mix and utilization. 80% GP less 20% power procurement, expedited construction/support costs leaves 60% OP on residual pricing dollars; parent attribution is 51% after 2026.

reason: Reliable sites with power and connectivity are scarce and customers value earlier operation. No rate card or contract repricing is disclosed, so probability 30% and a small eligible pool prevent broad scarcity claims from becoming a pure-margin

windfall.

SKM-MOBILE-CHURN

p: 0.25

Conditional: A 1.5% mobile-service revenue shortfall versus reference, reflecting retention spending or weaker post-incident recovery.

overlap: 0.5

bridge: 50% overlap with cautious reference growth. Lost revenue reduces GP/OP by 50% with no assumed immediate overhead savings. Cash taxes and working capital are rebuilt.

reason: The subscriber base and ARPU remain below earlier comparisons despite recovery. Regulatory or competitive costs can reappear; probability 25%.

SKM-15GW

p: 0.3

increment: 0

overlap: 1

zero reason: A bounded 0.25-0.60 GW accepted-project proxy by 2029-30 is included through developer/service fees above. Applying the reported KRW 70 tn/GW system cost or the entire 15 GW goal to SKM revenue would mix customer GPUs, partner assets and distant 2035 capacity. No separate project equity profit is added without ownership and financing terms.

SKM-NVIDIA-FACTORY

p: 0.55

increment: 0

overlap: 1

zero reason: The 2027 partnership is inside the reference DC and AI-service ramp. A bounded KRW 20-50 bn additional service opportunity would overlap the AI-services branch. No discrete contracted GPU count, utilization or customer price supports a separate layer.

SKM-ANTHROPIC-REVALUATION

p: 0.5

increment: 0

overlap: 1

zero reason: Private investment gains are excluded from operating profit. A separate conservative asset credit uses 50% of June long-term securities less the entire consolidated deferred-tax liability. No new valuation round, future mark-up or forced liquidity is assumed; investments in associates receive no extra book-value credit.

Remaining bounded uncertainties

- Product gross margins and the functional R&D/SG&A split are analytical allocations. Reference 2026 revenue KRW 17,600 bn and OP 2,150 bn are assumptions; actual H1 KRW 8,751.4 bn/1,103.6 bn are subtracted before the remaining H2 allocation. They are not company annual guidance.

- AIDC revenue includes submarine cables. Revenue per MW cannot be inferred by dividing that reported total by installedMW without a cable/power/occupancy split. The reference grows to KRW 1.7 tn in 2030 using an assumed mix of more active capacity, power pass-through and cable revenue, not a disclosed bank forecast.

- Horizon is expected to be established Q1 2027, subject to approvals. The 49% minority is applied from that date, conservatively before all funding. The KRW 3.08 tn funding schedule is assumed KRW 1 tn/1 tn/1.08 tn in Q1 2027/28/29. The complete future carve-out balance sheet, cash placement and project debt guarantees remain undisclosed.

- Opening consolidated liquid resources KRW 2,003.430 bn are allocated KRW 150 bn to Horizon and the balance to parent for funding analysis. This is a modeling allocation, not an issuer disclosure. Parent retains all historic debt, hybrid, spectrum and leases; only new Horizon debt and excess cash are ownership-adjusted. This is conservative on legacy debt allocation.

- The parent borrowing bound is an analytical additional KRW 2 tn; Horizon project debt bound KRW 3 tn. Neither is a confirmed committed facility for these specific projects. Maturing debt is assumed refinanced within the debt bound at 4.1% parent/5% Horizon interest. The model fails funding if these bounds are exceeded.

- Group H1 cash PP&E/software purchases KRW 841.200 bn differ from equipment-capex guidance KRW 623.5 bn. The cash model uses an explicit remaining H2 core budget KRW 2,650 bn plus Horizon KRW 500 bn and Hyper KRW 330 bn; later core cash capex KRW 2.8-3.1 tn plus Horizon KRW 1.0-1.4 tn. These are budgets, not issuer promises. Initial Hypercash is spent on land/power, not counted again as an equity transfer within the consolidated group.

- The USD 480 m affiliate capital commitment is paid in 16 equal quarterly calls throughJune 2030, without a profit or recoverable-asset credit. Actual capital-call dates are unknown. The KRW 750 bn Hyper commitment is separate: 330 bn Q3 2026 and 420 bn across 2027. No double-counted affiliate synergy revenue is included.

- Issued ordinary shares 214.790053 m include 1.732142 m treasury shares, conservatively reserving reissuance. The ADS ratio is 5/9 ordinary, so 386.6220954 m ADS equivalents. No buyback, cancellation or dividend tax benefit is assumed. Quarterly KRW 830 ordinary dividend is a modeled continuation, not a perpetual guarantee.

- The 20 x ceiling on a predominantly telecom earnings base is a framework convention and materially richer than a lower telecom multiple. 10 x/15 x stress cases are shown separately; they are not silently blended into the active 20 x method. Owner UpsideDriver is a target-path heuristic and does not prove actual P/E expansion.

- The public Q2 transcript ends after the final analyst question without the answer. The primary linked subtitlePDF returned 404; no answer is invented. Q1 call and primary Q1/Q2 presentations were read. Direct SECdownload 403 and the SECInfo mirror's bot-check prevented archiving the full filing; its relevant financial tables/notes were read through the web tool.

- Private-asset valuation is not cash. 50% of securities net of the full deferred-tax liability is credited once; equity-method associates, hedge assets and pension surplus are excluded. Spectrum renewal uses an annual KRW 250 bn cash reserve from 2027. Cyber litigation and final penalties may exceed the general cost reserve. All assumptions require a funding rebuild when changed.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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